WILLS & ESTATE PLANNING

An Introduction to
INHERITANCE TAX

Understanding the basics — and how planning can help.

Inheritance Tax (IHT) is charged on the value of your estate above certain thresholds when you die. With some straightforward planning, many families can reduce or even remove the bill entirely.

THE KEY FIGURES

£325,000	£175,000	40%	7 Years
NIL-RATE BAND PER PERSON	RESIDENCE NIL-RATE BAND (MAIN HOME TO DESCENDANTS)	TAX RATE ABOVE THE THRESHOLD	GIFTING RULE FOR TAPERED RELIEF

WAYS TO REDUCE INHERITANCE TAX

1. **Use both nil-rate bands**
   Married couples and civil partners can transfer any unused nil-rate band to each other, effectively doubling the threshold.
2. **Gift within the 7-year rule**
   Gifts made more than 7 years before death are usually free of Inheritance Tax, with tapered relief for gifts made 3–7 years before.
3. **Leave a share to charity**
   Leaving 10% or more of your estate to charity can reduce the rate charged on the rest to 36%.
4. **Consider a trust**
   Trusts can help control how and when assets pass to beneficiaries, and may reduce the value of your taxable estate.
5. **Plan your estate early**
   The earlier you plan, the more options are available to you — waiting until later in life can limit what can be done.

IMPORTANT TO KNOW

Inheritance Tax rules are detailed and depend on your personal circumstances. This guide is a general introduction, not personalised tax advice — speak to us about your specific situation.

Plan today for peace of mind tomorrow.

WILLS & ESTATE PLANNING SERVICES TAILORED TO YOU